Warsaw, June 14, 2022

Decision

DS.523.6339.2021

Pursuant to Article 104 § 1 and Article 105 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2021, item 735), in conjunction with Article 7(1) and (2) of the Act of May 10, 2018, on the Protection of Personal Data (consolidated text: Journal of Laws of 2019, item 1781), Article 6(1) and Article 58(2)(c) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (OJ EU L 119 of May 4, 2016, p. 1, OJ EU L 127 of May 23, 2018, p. 2, and OJ EU L 74 of March 4, 2021, p. 35), in conjunction with Article 105a(3) of the Act of August 29, 1997, the Banking Law (Journal of Laws of 2021, item 2439), after conducting administrative proceedings regarding the complaint of Mr. Ł. B. about irregularities in the processing of his personal data by S. S.A., consisting of the processing of the Complainant's personal data for the purposes of creditworthiness assessment and credit risk analysis at B. S.A., and at B.R. conducted by Z., without legal basis and the refusal to comply with the Complainant's request to cease processing such data, the President of the Personal Data Protection Office orders S. S.A. to cease processing the personal data of Mr. Ł. B. resulting from the agreement dated […] July 2017 at B. S.A., processed on the basis of Article 105a(3) of the Act of August 29, 1997, the Banking Law, for the purpose of creditworthiness assessment and credit risk analysis; in other respects, the proceedings are discontinued.

Justification

A complaint was submitted to the President of the Personal Data Protection Office by Mr. Ł. B., hereinafter referred to as the Complainant, regarding irregularities in the processing of his personal data by S. S.A., hereinafter referred to as the Bank, consisting of the processing of the Complainant's personal data for the purposes of creditworthiness assessment and credit risk analysis at B. S.A., hereinafter referred to as B., and at B.R. conducted by Z., hereinafter referred to as Z., without legal basis and the refusal to comply with the Complainant's request to cease processing such data.

During the conducted administrative proceedings, the President of the Personal Data Protection Office, hereinafter also referred to as the President of UODO, established the following factual state.

In the complaint initiating these proceedings, the Complainant indicated that the Bank processes his personal data resulting from a now-closed credit obligation concluded on […] July 2017, for the purpose of analyzing and assessing credit risk despite failing to fulfill the obligations arising from Article 105a(3) of the Act of August 29, 1997, the Banking Law (Journal of Laws of 2019, item 2357), hereinafter referred to as the Banking Law, and shares this data with B. and Z. The Complainant indicated that the Bank did not consider his requests to cease processing, including sharing his personal data with B. and Z. in the contested scope. Therefore, the Complainant requested the President of UODO to order the Bank to cease processing his personal data within the framework of the closed credit agreement for the purpose of assessing and analyzing credit risk at B. and Z. (evidence: complaint dated […] October 2021);

In the submitted explanations, the Bank indicated that it obtained the Complainant's personal data in connection with the conclusion of agreement no. […] dated […] July 2017. The Bank stated that in connection with the agreement concluded with the Complainant, on […] July 2017, it shared his personal data with B. The Bank further indicated that it currently processes the Complainant's data for the purpose of defending against potential claims until their statute of limitations in accordance with Article 118 of the Civil Code in conjunction with Article 6(1)(f) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (OJ EU L 119 of May 4, 2016, p. 1, OJ EU L 127 of May 23, 2018, p. 2, and OJ EU L 74 of March 4, 2021, p. 35), hereinafter referred to as GDPR, which constitutes a legally justified interest of the Bank. The Bank also indicated that the Complainant's data is also processed on the basis of Article 105a(3) of the Banking Law at B. for the period specified in Article 105a(5) of the Banking Law. (evidence: Bank's explanations dated […] November 2021);

The Bank indicated that, quote: “(...) due to the delay in the performance of the obligation – lasting more than 60 days, the Bank sent the Complainant a Statement of Termination of the Agreement (date of dispatch: […].04.2019) with information about the intention to process his data on the basis of Article 105a(3) of the Banking Law. (...) Given that the correspondence with information about the intention to process data without the Complainant's consent was sent on […] April 2019, and the processing of the Complainant's data on the basis of Article 105a(3) of the Banking Law began on […] November 2020, at least 30 days also elapsed from informing the Complainant about the intention to process his data – without consent.” The Bank also indicated that, quote: “(...) the agreement was closed at B. on the date of […] November 2020. The Complainant's data in connection with the agreement will be processed by B. on the basis of Article 105a(3) of the Banking Law.”
Banking for 5 years from this date. We indicate that the consent of the Complainant for the processing of data by B. for 5 years after the repayment of the obligation was withdrawn at B. on the date of […] August 2021.” (evidence: explanations from the Bank dated […] November 2021 with attachments);

The Bank further explained that it did not transfer the Complainant's personal data to Z. (evidence: explanations from the Bank dated […] January 2022);

The Bank entered into an agreement with B. regarding the collection, entrustment, and sharing of information in the B. “K.” database on […] August 2018, annexed on […] May 2018, under which B. processes the personal data of the Bank's clients, provided by the Bank (evidence: explanations from the Bank dated […] November 2021 with attachments);

B. indicated that “B. obtained the Complainant's data from the Bank on […] July 2017 regarding the credit inquiry and on […] July 2017 in connection with the credit agreement concluded on […] July 2017 (“Agreement”) based on Article 105(4) of the Banking Law, Article 105a(1) of the Banking Law, and based on the agreement between the Bank and B. The data was obtained regarding the identifying data of the Complainant and data concerning the incurred obligation. Currently, B. processes the Complainant's personal data related to the Agreement, including repayment history, for the purpose of assessing creditworthiness and analyzing credit risk based on Article 105a(3) of the Banking Law, due to the transfer by the Bank to B. of information about the fulfillment of the conditions referred to in this provision, which provides grounds for processing data without the Complainant's consent. The data will be processed for this purpose for a period of 5 years from the date of expiration of the obligation, in accordance with Article 105a(5) of the Banking Law. In the case of the Agreement, the Bank indicated the date of expiration of the obligation as […] November 2020.” B. also indicated that the Complainant did not request the removal of data from him. (evidence: explanations from B. dated […] November 2021);

Z. in the submitted explanations indicated that “as of […] 01.2022, there are no records of the Complainant's data in B.R., which were mentioned in the letter from the President of the Personal Data Protection Office regarding the entry made by S. S.A. based in W.” (evidence: explanations from Z. dated […] January 2022).

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

First of all, it should be indicated that the provision authorizing data controllers to process ordinary data of natural persons is Article 6(1) of the GDPR, according to which the processing of data is permissible only if at least one of the conditions specified in this provision is met. The catalog of conditions listed in Article 6(1) of the GDPR is closed. Each of the conditions legitimizing the process of processing personal data is autonomous and independent.

As a rule, the legal basis for processing the personal data of clients by the Bank in B. may currently be Article 6(1)(f) of the GDPR, when this processing is necessary for the purposes of legitimate interests pursued by the controller. It should also be indicated that the processing of the personal data of the Bank's clients by B. takes place based on the agreement concluded with the Bank. It should be noted that B. is an institution established under Article 105(4) of the Banking Law, which states that banks may, together with banking economic chambers, establish institutions authorized to collect, process, and share information constituting bank secrecy with banks to the extent that such information is necessary in connection with the performance of banking activities and in connection with the application of internal methods and other methods and models referred to in Part Three of Regulation No. 575/2013, to other institutions legally authorized to grant credit information constituting bank secrecy to the extent that such information is necessary in connection with granting loans, cash loans, bank guarantees, and sureties (point 2), to credit institutions information constituting bank secrecy to the extent necessary for assessing the creditworthiness of the consumer, referred to in Article 9 of the Act of May 12, 2011 on consumer credit (point 3), to lending institutions and entities referred to in Article 59d of the Act of May 12, 2011 on consumer credit on a reciprocal basis, information constituting respectively bank secrecy and information provided by lending institutions and entities referred to in Article 59d of the Act of May 12, 2011 on consumer credit, to the extent necessary for assessing the creditworthiness of the consumer referred to in Article 9 of this Act, and analyzing credit risk (point 4).

According to Article 105a(1) of the Banking Law, the processing by banks, other institutions legally authorized to grant credit, lending institutions, and entities referred to in Article 59d of the Act of May 12, 2011 on consumer credit, as well as institutions established under Article 105(4), of information constituting bank secrecy and information provided by lending institutions and entities referred to in Article 59d of the Act of May 12, 2011 on consumer credit, concerning natural persons may be carried out, subject to Articles 104, 105, and Articles 106 – 106d of the Banking Law for the purpose of assessing creditworthiness and analyzing credit risk. According to Article 105a(3) of the Banking Law, banks, institutions, and entities referred to in paragraph 1 may process information constituting bank secrecy and information provided by lending institutions and entities referred to in Article 59d of the Act of May 12, 2011 on consumer credit, concerning natural persons after...
**Expiration of Obligation Arising from the Agreement**

resulting from the agreement concluded with the bank, another institution legally authorized to grant loans, a lending institution, or an entity referred to in Article 59d of the Act of May 12, 2011 on consumer credit, without the consent of the person to whom the information pertains, when that person has not fulfilled the obligation or has delayed for more than 60 days in fulfilling the performance arising from the agreement concluded with the bank, another institution legally authorized to grant loans, a lending institution, or an entity referred to in Article 59d of the Act of May 12, 2011 on consumer credit, and after the occurrence of these circumstances, at least 30 days have passed since the bank, another institution legally authorized to grant loans, a lending institution, or an entity referred to in Article 59d of the Act of May 12, 2011 on consumer credit, informed that person of the intention to process information concerning them, without their consent.

In light of the above, it should be noted that from the established facts in this case, it follows that the obligation of the Appellant towards the Bank, arising from agreement No. […] dated […] July 2017, expired on […] November 2020. The collected evidence indicates that the Appellant delayed in repaying the obligation for more than 60 days. However, it is significant in this case that the Bank did not provide evidence of fulfilling the obligation towards the Appellant specified in Article 105a, paragraph 3 of the Banking Law, i.e., it did not effectively inform him of the intention to process information concerning him that constitutes bank secrecy, without his consent after the expiration of the obligation arising from the aforementioned agreement. It must be stated that the mere fact that the Appellant did not fulfill the obligation or was late in fulfilling it for at least 60 days does not authorize the Bank to process his data under the conditions specified in Article 105a, paragraph 3 of the Banking Law. The moment from which the sixty-day period should be counted, in which the consumer delays in fulfilling the obligation, is the deadline for fulfilling the obligation. Only after the lapse of 60 days does the 30-day period begin, during which the institution still expects the client to fulfill the obligation. The

30-day period runs from the moment the person to whom the data pertains is effectively informed by the institution of the intention to process. Ultimately, it is the ineffective lapse of 30 days from the moment of notification that constitutes the fulfillment of the conditions from Article 105a, paragraph 3 of the Banking Law.

From the above, it follows that when processing the Appellant's data under the conditions specified in the aforementioned provision, the Bank must demonstrate that the Appellant was informed of the intention to process them without his consent. In this case, the Appellant argued that the circumstances indicated in Article 105a, paragraph 3 of the Banking Law were not met, and therefore the Bank is not entitled to process his personal data. The Bank claimed that the aforementioned conditions, including informing the Appellant of the circumstances indicated in Article 105a, paragraph 3 of the Banking Law, were met by sending correspondence to the Appellant by registered mail. In the opinion of the President of the UODO, there is a lack of evidence indicating proper and effective notification of the Appellant regarding the content of Article 105a, paragraph 3 of the Banking Law.

The Bank did not provide evidence of the proper delivery to the Appellant of the document, the content of which contained information about the circumstances indicated in Article 105a, paragraph 3 of the Banking Law; therefore, the circumstance of effectively informing the Appellant about the content of Article 105a, paragraph 3 of the Banking Law cannot be considered proven. Additionally, it should be emphasized that the preparation and sending of the aforementioned letter is not equivalent to proving its proper delivery, resulting in informing the Appellant of the intention to process data constituting bank secrecy, without his consent based on Article 105a, paragraph 3 of the Banking Law. The mere statement of sending correspondence and presenting a copy of it along with a copy of the registered mail correspondence does not constitute proof of its delivery or informing the addressee of its content. At this point, it should be noted that the generally applicable regulations do not formulate the obligation to send the information referred to in Article 105a, paragraph 3 of the Banking Law in a specific form. It is therefore up to the informing entity to choose the form of communication to the recipient regarding the intention to process personal data without their consent. At the same time, the informing entity derives legal consequences from the above, so it must demonstrate that it informed the Appellant of the intention to process data constituting bank secrecy, without his consent based on Article 105a, paragraph 3 of the Banking Law.

The above position of the authority is supported by the judgment of the Provincial Administrative Court of March 15, 2017, case file II SA/Wa 1695/16, according to which it states: “(...) the mere computer confirmation in the upper right corner of the documents 'UNSTAMPED SHIPMENT, Date of dispatch 2015 - 08 - […]', does not constitute confirmation of the sending of documents. Also, a screenshot from the aforementioned application, due to the 'encoded' system of the data collected there, without deeper specialist analysis (in the field of computer science), does not present reliable evidence that, apart from generating the subject documents, they were actually sent to the complainant. (...) It is true that no provision of the Banking Law requires that the information obligation referred to in Article 105a, paragraph 3 of this Act be fulfilled by means of registered mail - registered letters. However, it should be emphasized that in the event of a dispute, the burden of proof of the delivery of the letter rests on the party fulfilling the information obligation. (...) Although during the administrative proceedings the adjudicating authority assessed the documents presented by the Bank, it does not follow from them that the Bank (...) fulfilled the information obligation (of sending, not just generating documents) towards the complainant.” If
Therefore, the statement was sent to the addressee by letter or other means of remote communication. The party making the statement should demonstrate, for example, by means of a return receipt, that the letter (telegram) was delivered to the addressee. The proof of sending a registered letter is not, however, proof of its delivery to the addressee.

Reiterating the above considerations, it must be emphasized that in this case, the conditions set out in Article 105a, paragraph 3 of the Banking Law have not been met, according to which the Bank may process information constituting banking secrecy concerning individuals after the obligation arising from the contract has expired, without their consent, for the purpose of assessing creditworthiness and analyzing credit risk. The President of the Personal Data Protection Office, during the ongoing administrative proceedings, also did not find circumstances justifying the Bank's processing of the Complainant's personal data based on the aforementioned legal basis for the above purpose.

At this point, it should be noted that the administrative proceedings conducted by the President of the Personal Data Protection Office serve, in every case, to examine the legitimacy of issuing an order against a specific entity, corresponding to the provisions of Article 58, paragraph 2 of the GDPR, aimed at restoring compliance with the law in the data processing process. In light of the above, exercising the authority provided for in Article 58, paragraph 2, letter c of the GDPR, the President of the Personal Data Protection Office ordered the Bank to cease processing the Complainant's personal data in B., concerning contract no. […] dated […] July 2017, processed based on Article 105a, paragraph 3 of the Banking Law for the purpose of assessing creditworthiness and analyzing credit risk.

It should be emphasized that the evidence collected in this case does not confirm the circumstances that the Bank processed the Complainant's personal data in B.R. conducted by Z. The Complainant did not provide evidence indicating that the Bank disclosed his data concerning contract no. […] dated […] July 2017, to Z. The Bank denied having transmitted the Complainant's data to Z., and Z. also indicated that it does not process the Complainant's personal data in the scope covered by the complaint. Thus, the authority has only conflicting statements from the parties in this proceeding.

The President of the Personal Data Protection Office, as a public administration authority, conducting proceedings based on the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2021, item 735), hereinafter referred to as the Kpa, assesses based on the entirety of the evidence whether a given circumstance has been proven. Evidence in the proceedings may include, in particular, documents, witness testimonies, expert opinions, and inspections (Article 75, § 1 of the Kpa).

According to the principle of objective truth, expressed in Article 7 of the Kpa, during the proceedings, public administration authorities stand guard over the rule of law and take all necessary steps to accurately clarify the factual state and to resolve the matter, taking into account the public interest and the legitimate interest of citizens. The realization of the above is ensured, in particular, by the guarantees contained in the provisions regulating the evidentiary proceedings. The Supreme Administrative Court, in its judgment of October 26, 1984 (case no. II SA 1205/84, ONSA 1984, No. 2, item 98), ruled: "From Articles 7 and 77, § 1 of the Kpa, it follows that the obligation to thoroughly examine and consider all evidence rests with the authority conducting the administrative proceedings. This does not mean that the party is exempt from participating in the fulfillment of this obligation, especially since the failure to prove a specific factual circumstance may lead to unfavorable results for the party." After exhausting the possibilities of making the necessary factual findings for the decision, the authority conducting the proceedings is entitled, and even obliged, to adopt such a version of events that logically corresponds to the remaining evidence.

Sharing the above considerations and taking into account the established circumstances of the case, it must be stated that there is a lack of indisputable evidence in the case that would confirm the Complainant's allegations regarding the disclosure of his data concerning contract no. […] dated […] July 2017, to Z. Therefore, it should be concluded that the data processing process contested by the Complainant did not occur.

It should be noted that the doctrine indicates the view that "the lack of subject matter of the administrative proceedings, as stated in Article 105, § 1 of the Kpa, means that one of the elements of the material legal relationship is missing, and therefore it is not possible to issue a decision resolving the matter by deciding on its substance. The premise for discontinuing the proceedings may exist even before the proceedings are initiated, which will only be revealed in the ongoing proceedings, and it may also arise during the course of the proceedings, thus in a case already pending before the administrative authority." (B. Adamiak, J. Borkowski, Code of Administrative Procedure. Commentary, C.H. Beck, Warsaw 2006, p. 489). The determination by the public authority of the existence of the

premise referred to in Article 105, § 1 of the Kpa obliges it, as emphasized in the doctrine, to discontinue the proceedings, as there are no grounds for resolving the matter on its merits in the event of the existence of this premise, and further conducting the proceedings in such a case would indicate its defectiveness, which would significantly affect the outcome of the case. The lack of subject matter of the proceedings may also result from a change in the factual state of the case. According to the wording of Article 105, § 1 of the Kpa, when the proceedings have become devoid of subject matter in whole or in part for any reason, the public administration authority issues a decision to discontinue the proceedings accordingly in whole or in part. As indicated by the Provincial Administrative Court in Warsaw...
cited: "the lack of subject matter in administrative proceedings means the absence of a subject of the proceedings. This subject is a specific case in which the state administrative authority is empowered and simultaneously obliged to resolve, based on the provisions of substantive law, the rights or obligations of an individual entity" (judgment of October 5, 2017, case file VI SA/Wa 1093/17). In this case, agreeing with the position expressed in the aforementioned judgment of the court, it should be stated that the condition for the lack of subject matter in the proceedings has occurred, and the proceedings should be discontinued based on Article 105 § 1 of the Administrative Procedure Code. As follows from the evidence gathered in the case, there is a lack of evidence to confirm the allegations raised by the Complainant regarding the transfer of his personal data by the Bank to Z. concerning contract no. [...] dated [...] July 2017; thus, it cannot be considered that the process of personal data processing questioned by him exists, and therefore, these proceedings have become devoid of subject matter.

The assessment made by the President of the Personal Data Protection Office in each case serves to examine the legitimacy of issuing an order against a specific entity, corresponding to the provisions of Article 58(2) of the GDPR, aimed at restoring compliance with the law in the data processing process - it is therefore justified and necessary only to the extent that irregularities in the personal data processing exist.

In this factual and legal situation, the President of the Personal Data Protection Office has decided as stated in the operative part.

The decision is final. Based on Article 7(2) of the Act of May 10, 2018, on the Protection of Personal Data (Journal of Laws of 2019, item 1781) in conjunction with Article 13 § 2, Article 53 § 1, and Article 54 of the Act of August 30, 2002, on Proceedings Before Administrative Courts (Journal of Laws of 2019, item 2325, as amended), a party dissatisfied with this decision has the right to file a complaint with the Provincial Administrative Court in Warsaw within 30 days from the date of delivery to the party. The complaint is submitted through the President of the Personal Data Protection Office (address: Personal Data Protection Office, ul. Stawki 2, 00-193 Warsaw). The fee for the complaint is 200 zlotys. The party has the right to apply for exemption from court costs or the right to legal aid.

Print article
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